



The Growth Platform

Six months to December 2006

Nairobi: 23rd February 2007



Business Review

Gerald Mahinda
Group Managing Director

Economic overview...

Kenya

- ❑ GDP growth projected at 6%.
- ❑ Tourism, telecomms and construction continue to lead the growth.
- ❑ Inflation closed 2006 14.5%. Expected to remain high on back of high food prices.
- ❑ Election campaigning has kicked off in earnest. No significant impact on economy envisioned.
- ❑ FX strengthening

Uganda

- ❑ GDP expected to plateau eventuated by donor funding cutbacks. Range about 5.6%.
- ❑ Key sectors: construction, services and tourism.
- ❑ Inflation closed 2006 at 11.3%. Forecast to decline on back of lower food prices.
- ❑ Government-LRA negotiations on-going.

Tanzania

- ❑ GDP growth dropped to 5.9% due to drought and its effects on power.
- ❑ Agriculture remains mainstay but broadening of growth base as mining, tourism and construction expand.
- ❑ Inflation on the up driven by effects of the drought. Closed [headline inflation] 2006 at 6.7%. Forecast to ease.
- ❑ FX weakening

The year so far...

Strong Performance across all our markets.

- Strong start to the year.
- Put to bed new organisational design: Demand, Supply and New Sales organisation.
- Great execution on Demand side growing sales especially in Beer.
- Developing our 'Blue Oceans' - expanding Senator Keg footprint and exports.
- Excellent performance from Kenya.
- Increased marketing spend.

But, full demand potential impinged by ...

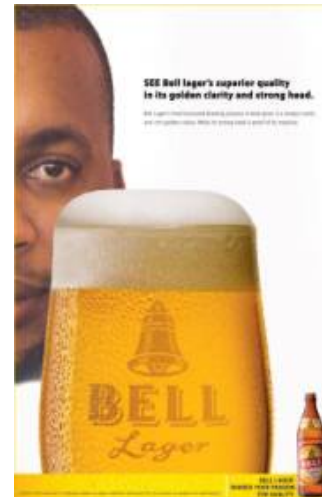
- Supply side challenges experienced.
- Challenges in the supply base including Malt and Barley.

Strong operating results...

Volume growth	22%	
Net sales increase	14%	
Marketing spend increase	27%	
Operating margin improvement	30bps	
Operating profit growth	15%	
EPS growth	11%*	

Our Markets [1/2]...

- ❑ **Strong performance** across all our markets buoyed by the strong economies.
- ❑ **Greater focus on priority brands** drove enhanced mix and operating margin expansion.
- ❑ **Beer** growing at **23%** led by Tusker, Guinness and Senator on the back of sustained marketing despite increased competition for share-of-wallet.
- ❑ **21%** increase in **exports** driven by enhanced focus.
- ❑ **Spirits** up **21%** on the back of innovation of Waragi and strong delivery by Kane Extra.

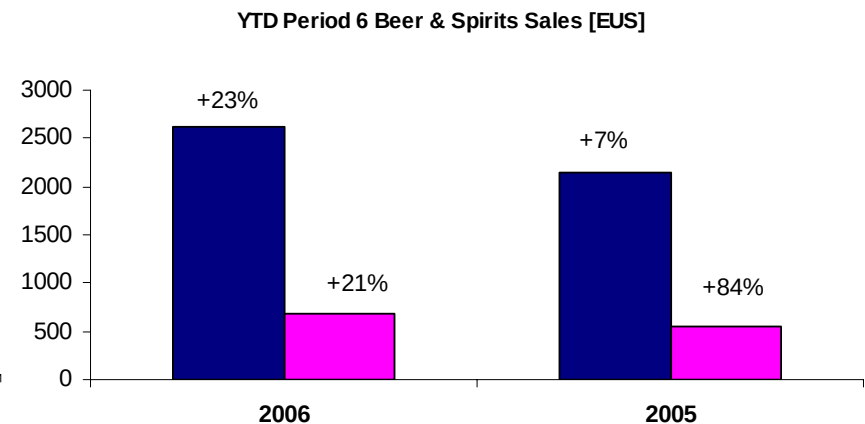
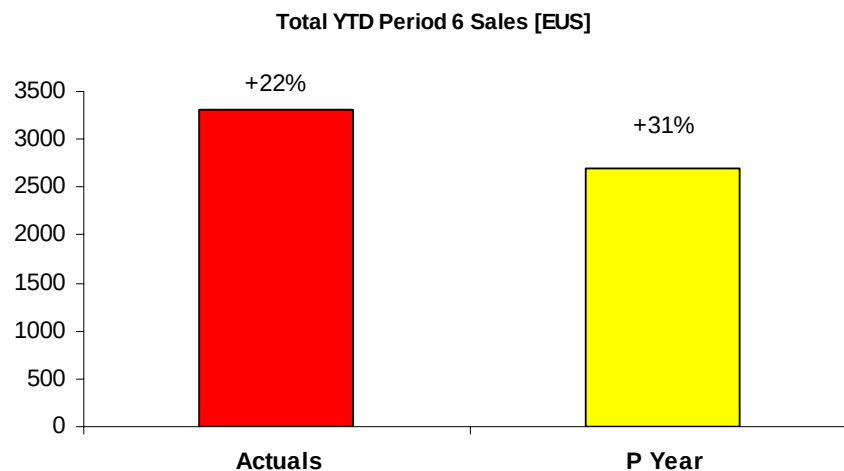


Our Markets [2/2]...

❑ Overall the **Group** grew volumes by **22%**.

❑ **23%** Beer growth vs. PY driven by sustained marketing around the priority brands plus a 21% increase in exports driven by enhanced focus.

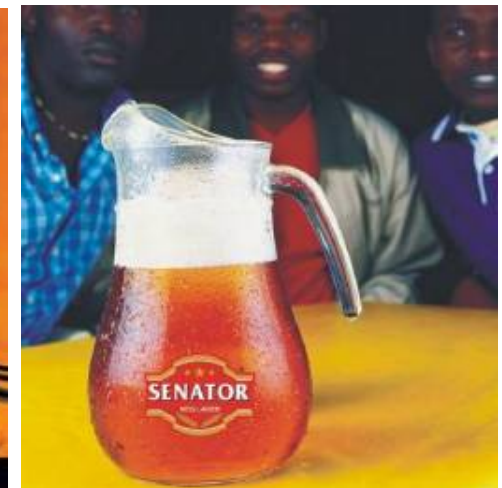
❑ **Spirits up 21%** on the back of pack innovation of Waragi in Uganda and strong delivery by Kane Extra in Kenya.



■ Beer ■ Spirits

Driving the Innovation Agenda...

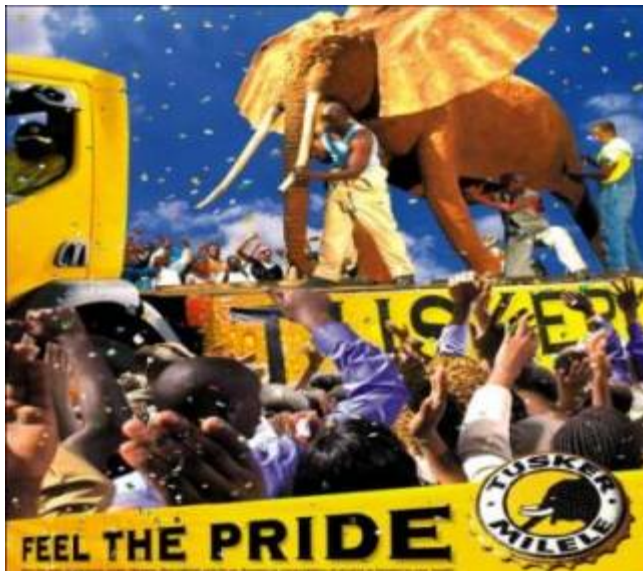
- ❑ **Senator** in a **Keg** posted a **139%** growth has successfully driven us into segments we have not previously played in.
- ❑ **Repositioning** of **Waragi** through **package innovation** saw growth of **29%**.
- ❑ Execution of **Guinness new pack** in Uganda [Genius] saw volumes lift by **26%** on back of great consumer reception.
- ❑ Tusker's groundbreaking **Project Fame** promotion saw a reconnection of the brand with the younger adult consumer group and led to improved equity scores.



Kenya...

Strong headline growth and operating leverage.

- ❑ Increased **marketing** and **sales** focus.
- ❑ **Strong performance** from **Guinness** benefiting from Guinness 17:59 campaign and **Senator Keg** riding on re-focus on emerging brands.
- ❑ Positive results from breakthrough promotion **TPF** on Tusker equity scores
- ❑ But **Spirits** continue to be a challenge especially mainstream and premium brands.
Great success from Kane Extra



Uganda...

Delivering industry leading growth in all categories.

- ❑ Successful in **taking market share** in H1.
- ❑ **Strong Beer performance** across all brands notwithstanding increase in excise tax on LRM beers.
- ❑ **Innovation** catalyst for growth in Pilsner and Waragi.
- ❑ **Strong growth** in **mainstream** and **premium Spirits**.



Tanzania...

Remarkable performance as we grow faster than market.

- ❑ Impressive market share growth at end H1.
- ❑ **Tusker** and **Guinness** led growth. Tusker continues its *strong association with soccer*.
- ❑ **Pilsner** grew 12% on the back of an entrenched **national distribution**.
- ❑ **Malta** continues to **grow** despite some challenges.



Investing for Growth...

❑ **Uganda:** Key projects being undertaken - are DPVs, Mashing vessels, Keg Boy, Storage tanks, Deaeration plant, Yeast Drier.

❑ **Kenya:** Key projects are Kisumu line relocation, Mash filter and DPVs.

❑ **Going Forward:** Key projects under consideration are Kenya Beer Filters, Security of supply for Spirits in East Africa and a New bottling line for Kenya

All the above (including SAP) will cost about US \$50M

We go live in March 2007.



Foundation Work...

Great success in enriching people's lives.

- ❑ Over **200,000** lives touched by our **Water of Life** program.
- ❑ Lives of **69 students** in East Africa changed forever through our **EABL Scholarship** program.
- ❑ Environmental impact team, **E-Green**, formed. **Trees** planting programs initiated in Ngong and Thika [Kenya] and Namanye and Kkoba [Uganda].
- ❑ Continued uplift of lives through our **Health initiatives**. **25,000 people** impacted directly. Many more indirectly.



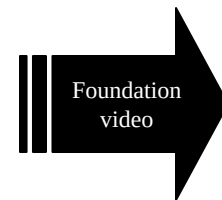
Full Year Outlook...

- ☐ Performance on course for a **strong year**.
- ☐ **Focus** on **premium** and **mainstream** categories through high impact marketing campaigns.
- ☐ **Positive** outlook for **Spirits** in H2 on back of heavyweight marketing campaigns
- ☐ Continue to grow our **exports** and **soft-drinks** footprint.
- ☐ Drive our **One Company One Culture** change programme.
- ☐ Geographical expansion

Foundation Plans for FY...

Enriching lives!

- ❑ **300,000** lives to be touched by our **Water of Life** program by year end.
- ❑ **89 students** across East Africa will have their lives changed forever through our **Scholarship** program.
- ❑ The **E-Green team** will continue to lead execution of our **environment agenda**.
- ❑ An **optical clinic** will complete in **Moshi**, a **dispensary** in **Olchoro** by Ye – all part of our endeavour to uplift the lives of **100,000 East Africans** through our **Health initiatives**.





Performance Review

Chris Caldwell
Group Commercial Director

Strong operating results...

Volume growth	22%	↑
Net sales increase	14%	↑
Marketing spend increase	27%	↑
Operating margin improvement	30bps	↑
Operating profit growth	15%	↑
EPS growth	11%	↑

Driven by our key brands...



Volume ▲ 10%
Net sales ▲ 12%



Volume ▲ 30%
Net sales ▲ 35%



Volume ▲ 28%
Net sales ▲ 37%



Volume ▲ 2%
Net sales ▲ 11%



Volume ▲ 20%
Net sales ▲ 21%



Volume ▲ 6%
Net sales ▲ 2%

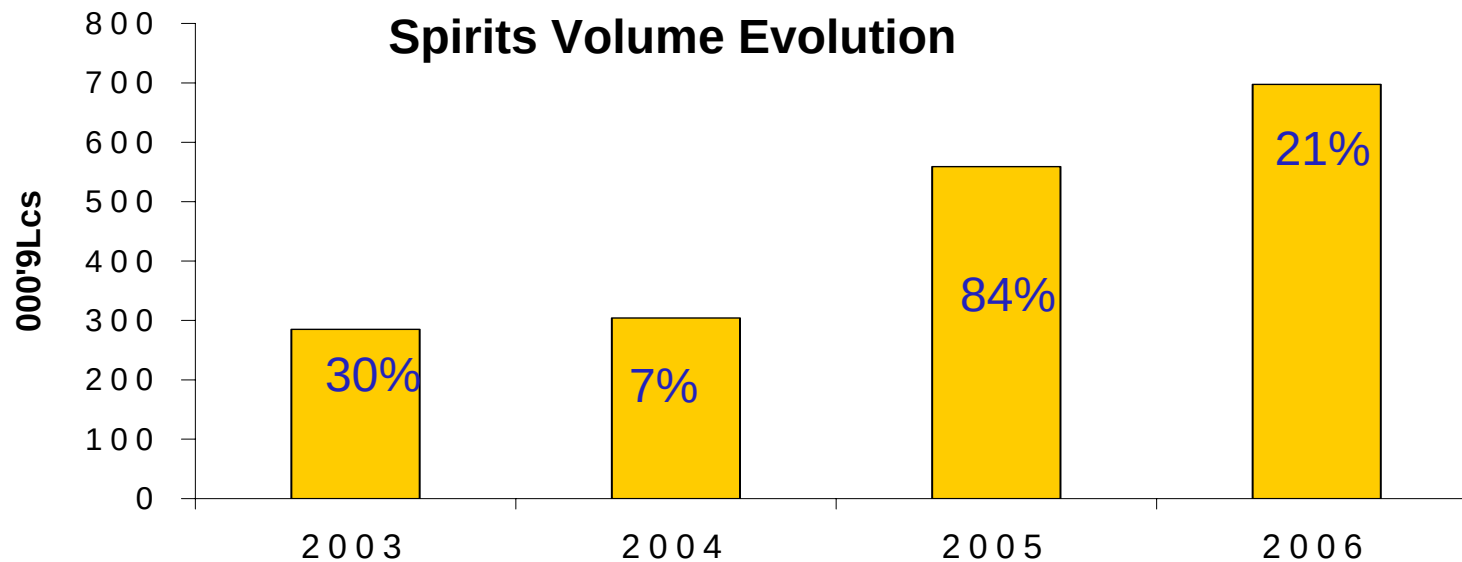
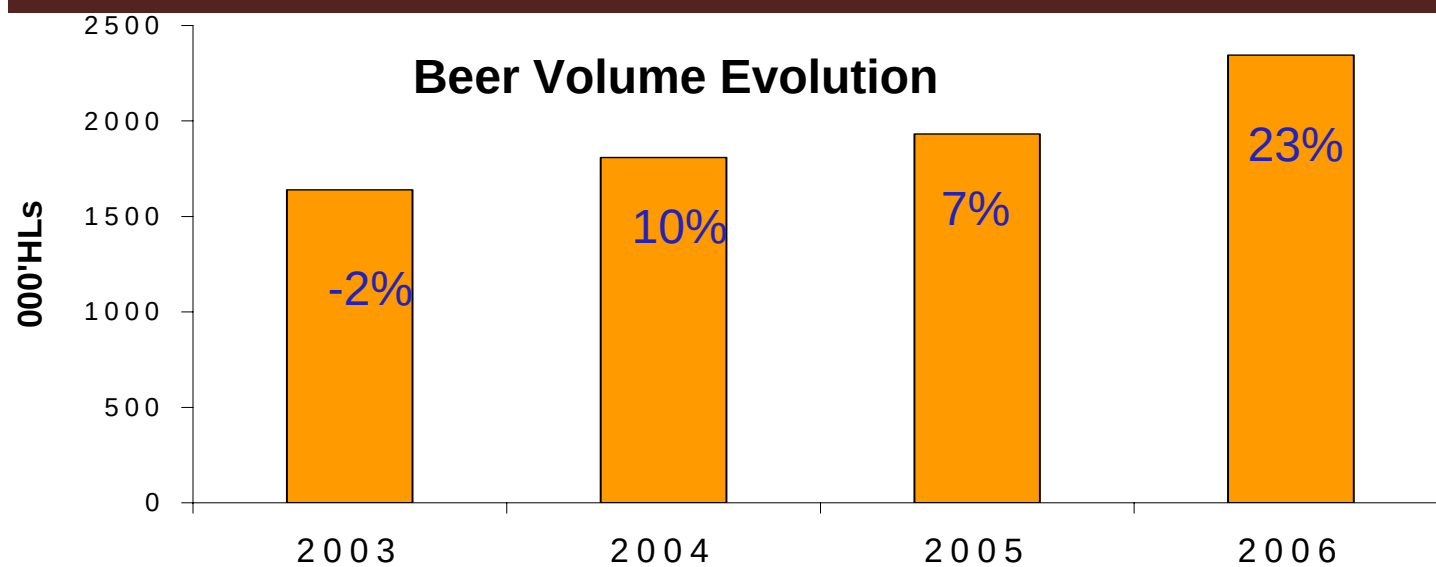


Volume ▲ 4%
Net sales ▲ 9%

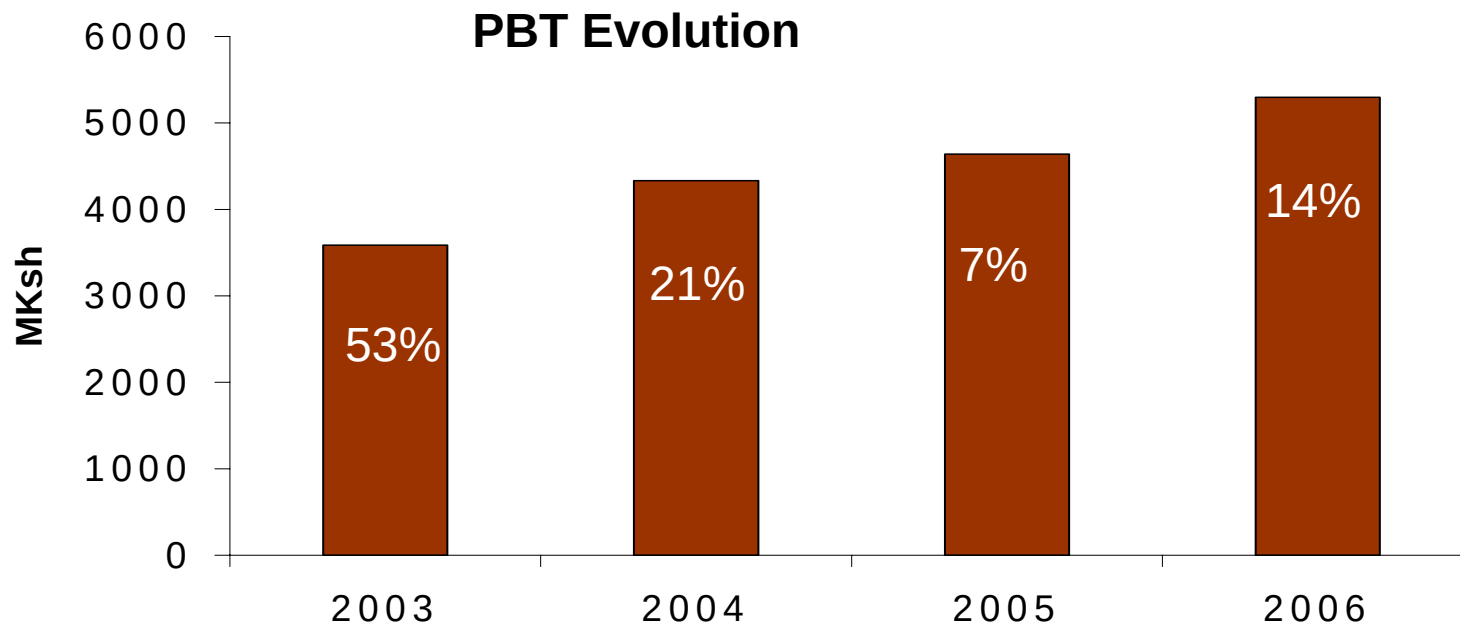
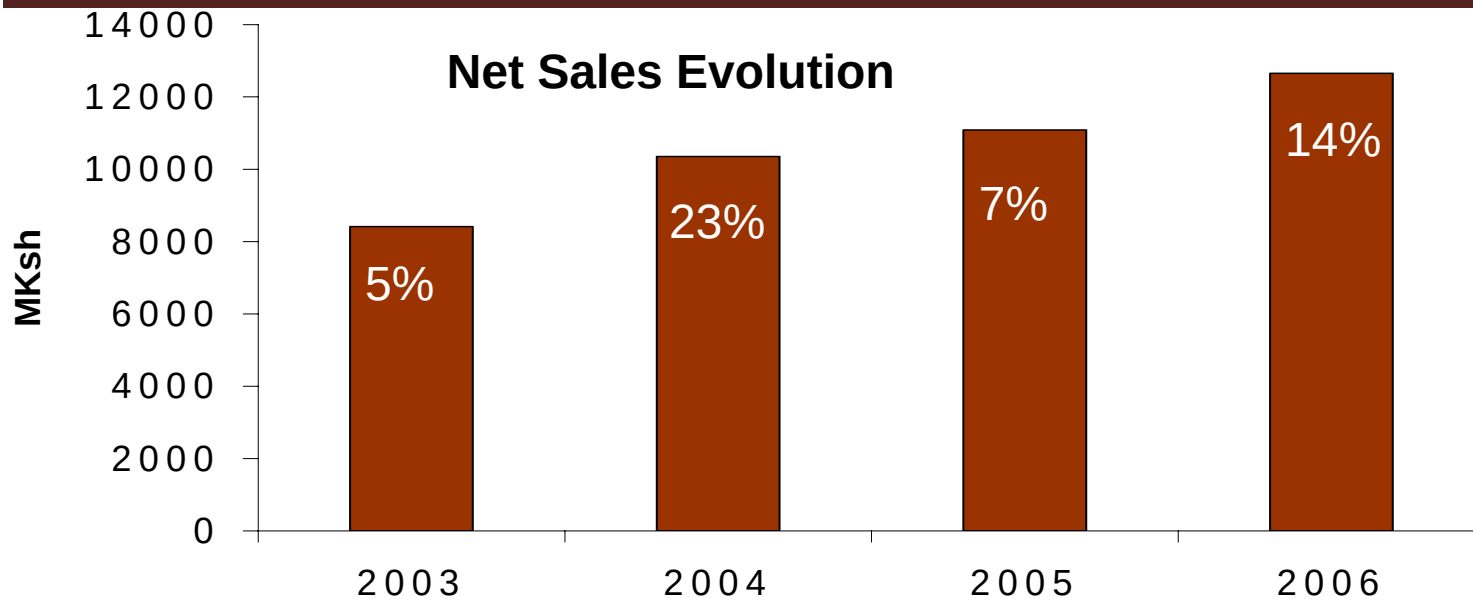


Volume ▲ 139%
Net sales ▲ 164%

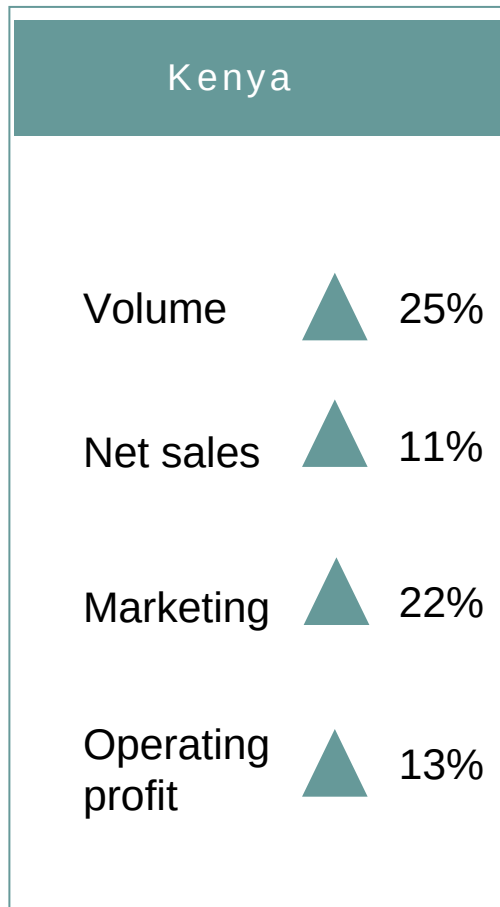
Continuing our track record...



Of delivering results...



In Kenya...



- Strong volume growth across the portfolio but challenges remain in spirits:
- Improved mix
- Increased pricing
- Cost pressures & production challenges
- Heavy marketing campaigns (Project Fame) – investment skewed into H1

And Uganda...

Uganda		
Volume		12%
Net sales		27%
Marketing		17%
Operating profit		32%

- Strong growth leading to significant market share gains in beer & spirits
- Decisive action on spirits – price increase - rebalanced mix & drives margin
- Cost pressures as in Kenya
- Marketing investments in support of growth
- FX also an issue

And Tanzania...

Tanzania		
Volume		32%
SOA		13%
SOA in TZ shs		5%

- All brands gaining market share
- Cost pressures as per elsewhere across the region
- Marketing investments paying off
- Tsh devaluation causing decline income

The regional summary...

Kenya				
Net sales	10.3bn	↑	11%	
Profit Before Tax	4.3bn	↑	13%	

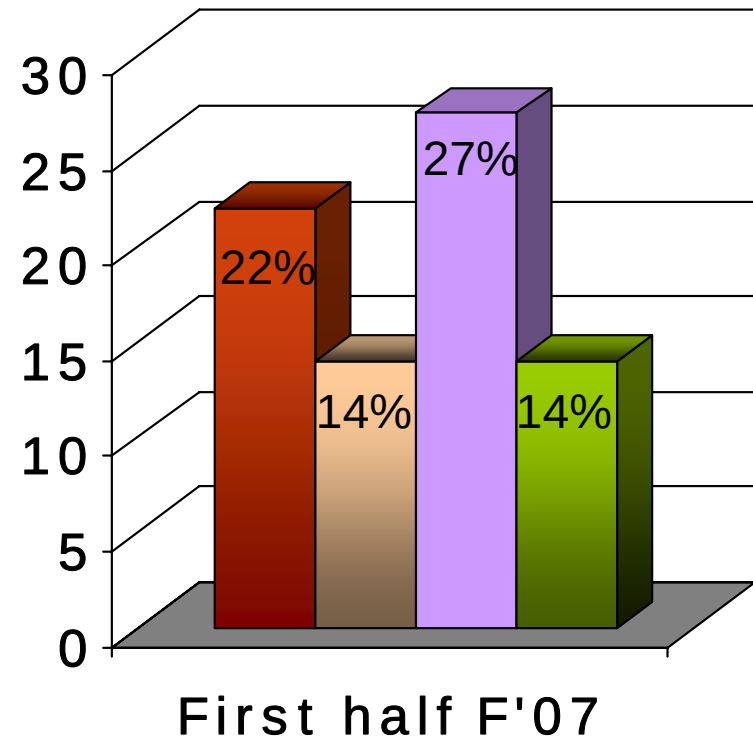
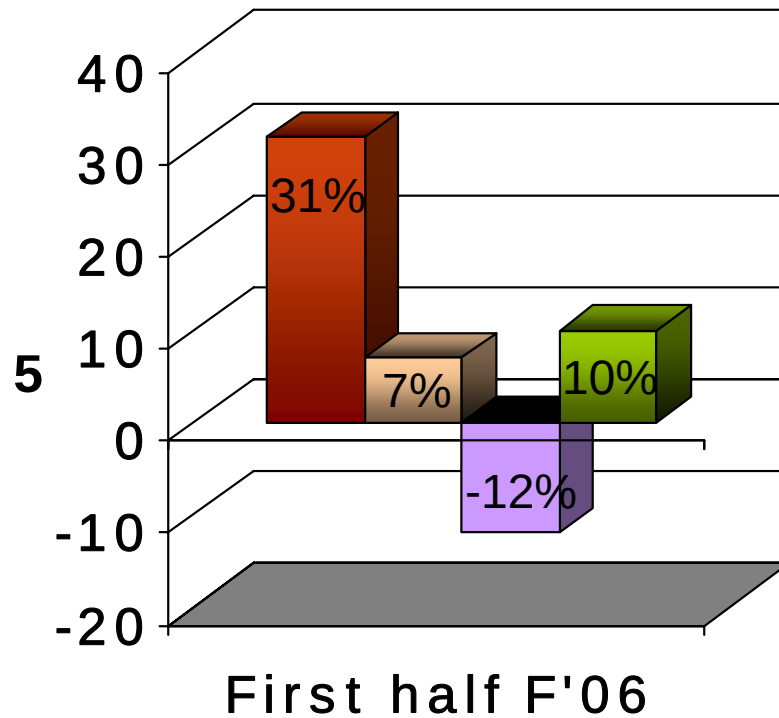
Uganda				
Net sales	2.4bn	↑	27%	
Profit Before Tax	0.6bn	↑	32%	

Tanzania				
Volumes	215K	↑	32%	
Share of Assoc.	0.4bn	↓	13%	

A strong P&L...

	<u>Kshs 'm'</u>		
	H1 FY 07	H1 FY 06	
Net Sales Revenue	12,654	11,087	• Mix & price improvements driving margin gains
Cost of Sales	(4,536)	(4,104)	
Gross Profit	8,117	6,983	
Other Operating Income	107	85	• Costs facing real pressure:
Selling & Distribution costs	(918)	(721)	
Administrative Expenses	(2,556)	(2,223)	
Profit from operation	4,750	4,123	• COS
Net Finance Income	170	84	• FX
Income from Associate	378	433	• SOA affected by FX
Profit Before Tax	5,300	4,640	

With a much better shape...



% Volume growth



% Net sales growth



% Marketing spend



% Operating profit growth



Free cashflow increases...

- Free cash of Ksh 7.9Bn growing by 14%

But...

- Capex phasing – very heavily skewed into H2
- Dividend payments in F07 will show significant increase over F06
- We are starting to expand...

Key measures of success...

PBT of 5.3Bn Ksh growing

14%



ROIC of 25% growing

130bps



Free Cashflow of 7.9Bn Ksh

1Bn Ksh



EPS of 4.57 Ksh growing

11%

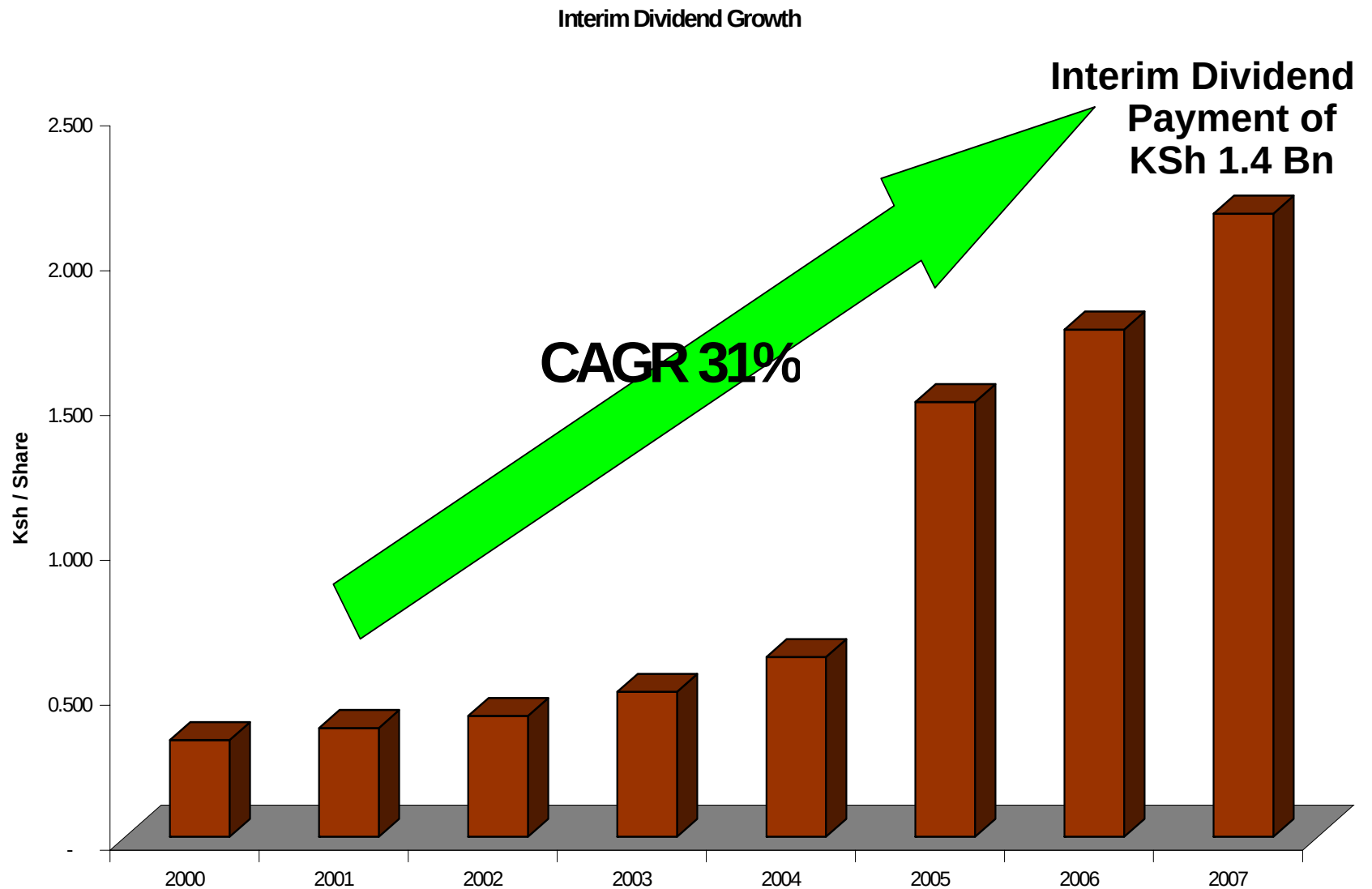


DPS of 2.15 Ksh growing

23%



And rewarding shareholders...



Overall a strong first half...

Volume growth	22%	↑
Net sales increase	14%	↑
Marketing spend increase	27%	↑
Operating margin improvement	30bps	↑
Operating profit growth	15%	↑
EPS growth	11%	↑



Thank You
&
Questions